

Genentech, back in early 1980, was selling at about \$43, with no earnings. If in ten years, I figured, Genentech should have \$38 million in annual profits (\$5 per share) and sell at twenty-four times earnings (the price-earnings ratio at that time of well-regarded Schlumberger), the stock would rise to \$120. This highly speculative outcome would represent an annual rate of gain over the ten years of only 10.8 percent. At that time you could buy a ten-year government bond with a yield of 12.4 percent, so Genentech failed to meet the value test. It was a simple test, and the stock failed it, but common sense is left behind when people are bedazzled by a concept. And there was no hotter concept at the time than biotech.

You can look at high-flying stocks this way all the time, and you should. In 1996 Terry Hogan became interested in a company called ThermoLase, which was opening salons that remove body hair by laser. The business concept was solid, with real growth potential. But a little time spent analyzing the numbers brought us back to reality. ThermoLase had opened only a few stores, had revenues of less than \$30 million, and was barely breaking even. But its premise so excited investors they had bid its stock up to a price, \$24, where it was already a billion-dollar company. Even if ThermoLase's expansion plans are fulfilled, we couldn't see the stock's selling ten years from now at a figure that would give investors more than a very modest annual return. Stick with proven companies, like Carnival Corporation, an industry leader with a \$9 billion capitalization but \$2 billion in revenues, \$1.80 a share in earnings, and a long record of 20 percent yearly earnings growth.

Fundamental Value

Fundamental value means that stocks are a buy only if they are cheap, but you can measure cheapness in two ways. You can look at a stock's price in relation to a company's replacement cost, what it would take to reproduce its assets. Or you can concentrate on the